

Income Protection - What's new in the financial world?

27 February 2014



Overview

- ☐ Impact of the recession
- ☐ What is Fraud?
- ☐ Fraudulent claims
- ☐ Discussion case studies
- ☐ Questions



***“Recession doesn’t turn honest people crooked,
it just accelerates the issue”***

Leonard Brimson, European Head of Fraud, Zurich

(Source: Insurance Fraud 2012: On the rise, opportunistic and online)

Did you know...?

- Around 15 fraudulent claims are discovered every hour
- 5% of all insurance claims are fraudulent
- 80% of all fraudulent claims are opportunistic
- 10% of adults are happy to admit to having made a fraudulent insurance claim
- An increasing number of Britons see insurance fraud as more acceptable during a recession

Income protection fraud

- During 2012 around £123m was paid in the UK for Income Protection claims
- 8% of Income Protection claims were stopped or declined due to:
 - Fraud; or
 - policyholder not giving the insurer full and correct information when they bought the insurance

What is fraud...exactly?

***“abuse of position, or false representation, or
prejudicing someone's rights for personal gain”***

(Source: Serious Fraud Office)

Fraudulent claims in Court

■ Carol Castell von Castell

- Lawyer who had been struck off
- Lied about earnings on income protection policy
- Trial in October 2006 convicted of fraudulently obtaining £79,279 from her Insurer between September 1999 and July 2003

■ Andrea and Roberta Vaughan-Owen

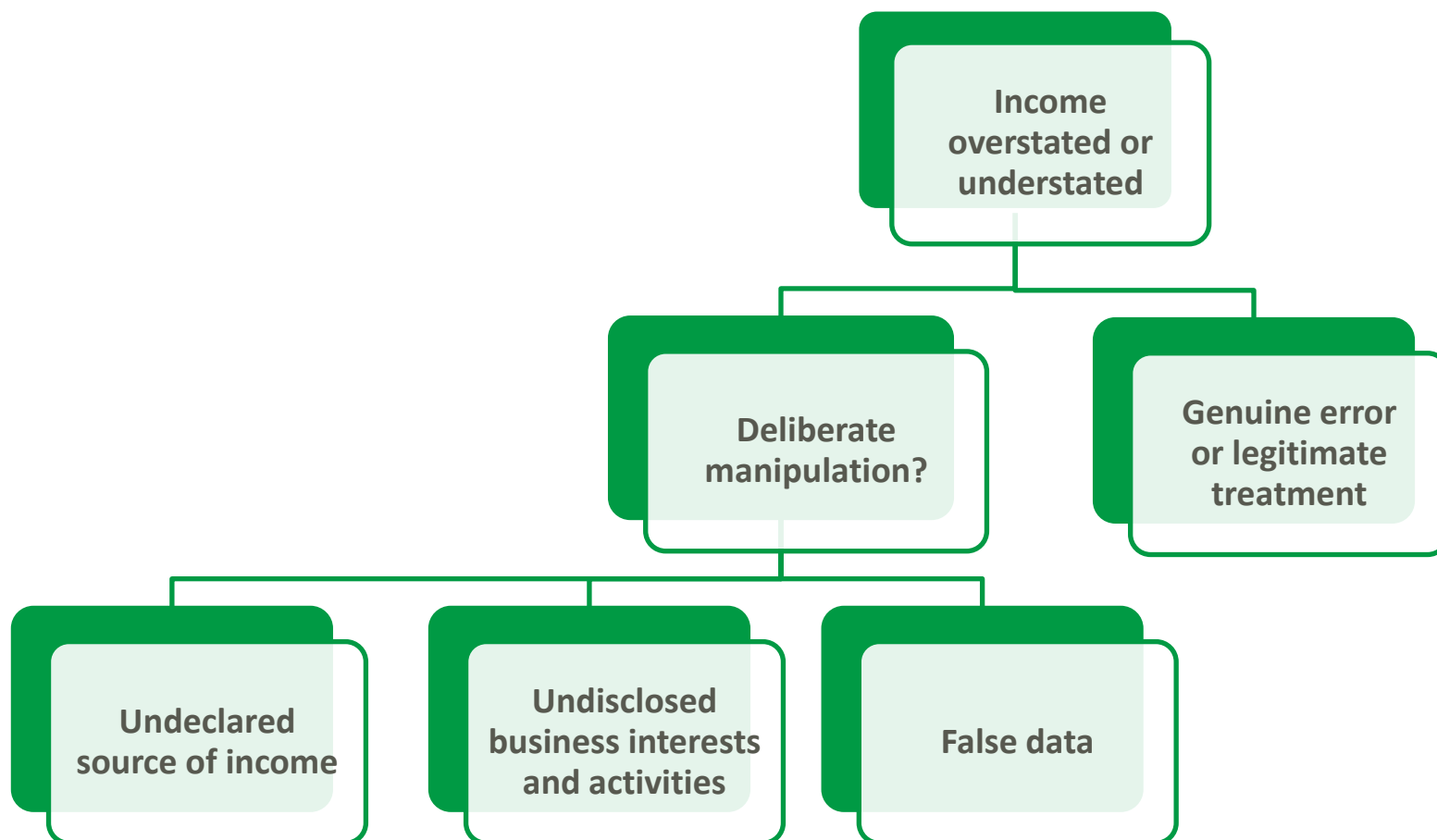
- Serial fraudsters, received incapacity benefit, working tax credits and child tax credits, arrested in 2007
- Obtained mortgage based on unsupported earnings of £120,000
- Bogus claims under employment income protection policy to cover mortgage payments

Financial misstatement

Financial misstatement in Income Protection claims occurs as:

- An overstatement of pre-incapacity earnings
- An understatement of post-incapacity earnings
- Or both

Are financial misstatements always fraudulent?



Case Studies

Case Study #1 – New business

- Policyholder 100% shareholder in a limited company
- Company incorporated a year prior to date of incapacity
- Policyholder received a large salary from the company
- Documents provided for the year directly prior to incapacity
 - Annual accounts
 - Wage slips & P60
 - Tax return
- The documents show that
 - The business was loss making
 - Wage slips, P60s and tax returns reconcile

Case Study #2 – Absence of accounting records

- Policy holder operates a sole trader business
- Date of claim – 21 December 2009
- Prior to making the claim the Policyholder had decreased his working hours:
 - Year ended 31 July 2008 – full-time
 - Year ended 31 July 2009 – part-time
 - Period ended 21 December 2009 – working “*as and when he felt up to it.*”
 - From mid-December 2009 – not working
- Documents provided
 - Accounts and tax returns for 2008 and 2009
 - No accounting documents after July 2009

Case Study #3 – Overseas earnings

- Following payment of IP benefits policyholder relocated overseas
- On-going document provision showed no declared earnings. However,
 - Policyholder and spouse each had a 5% shareholding in an overseas company
 - A Trust held the remaining 90% shareholding
 - The Policyholder was the primary beneficiary of the Trust
 - The business was generating profits
- Policyholder claimed that:
 - Spouse operates the business
 - Ownership arrangement for tax efficiency purposes

Case Study #4 – Multiple sources of earnings

- Policyholder 100% shareholder in three limited companies
- Policy holder also operates a sole trader business
- Received income from all four businesses – salary / dividends / net profit
- Documents provided
 - P60s and P45 from limited companies
 - Annual accounts for all businesses
 - Tax returns
- The documents show that pre-incapacity
 - Regular intercompany transactions
 - PAYE earnings not declared on tax returns
 - P45 earnings not recorded in the Financial Statements
 - Tax return dividend payments do not reconcile to the accounts

Questions?

Appendix 1

Pre-Incapacity Financial Red Flags

- Inconsistent documents
- Incomplete documents
- Use of business structure
- Accounts finalised post incapacity for pre incapacity period
- Large salary payments from loss making business
- Large backdated dividend
- Bogus documents – wage slips, P60s, tax returns, sales invoices
- Not disclosing the full picture
- Misleading or false data

Appendix 2

Post-Incapacity Financial Red Flags

- Establishing new businesses
- Involvement of family / friends
- Payments to family / friends
- Change in business structure
- Purchase of new assets
- Director's loans
- Personal expenses
- Expensing fixed assets or stock